

MediaTek Inc.

TPU outcomes increasingly binary in 2028; along with increasing competition, Smartphone estimates slip further; stay Neutral

Despite continued optimism from the sell-side on Mediatek's TPU v8 wins, the stock has continued its underperformance YTD (up 22% vs. TWSEEELEC Index up 31%). We continue to remain Neutral on the stock, since the outcomes on TPU design wins are starting to become more binary in nature, starting with TPU v9 in particular. While there is a small probability for Mediatek's TPU business to grow to \$20+ run-rate in 2028 with successful execution of TPU v9, we see a much higher chance that the project award moves largely in Broadcom's favor. Competition within Google's AI Compute fabric is also rising, with the recent award of an SRAM-based compute chip (similar to Groq LPU) to another US Fabless competitor, which shrinks Mediatek's share within the Google AI Compute pie, and adds this US Fabless vendor as a potential competitor for TPU v10 RFIs, likely compressing long-term margins as Google further pursues its CoT (Customer Owned Tooling) path. Given the increasingly binary nature of the outcomes for Mediatek in 2027-28, we stay Neutral and believe there are easier and more obvious plays within the broader AI Compute narrative (ASE, TSMC, Substrate, advanced packaging equipment) that are seeing continued EPS upgrades and are less reliant on binary outcomes. We cut our 2027 earnings estimate by 2% with a Dec-26 SoTP-based PT of NT\$1,600 (15x PE for core earnings and 25x for Datacenter ASIC), under our base case assumptions for TPU v8/v9 growth into 2027/28.

- TPU v9 outcome now quite binary with a straight bake-off between MediaTek and Broadcom; risks stacked against MediaTek:** We believe that the market discussion is moving on to TPU v9 design and project award probability for MediaTek, since TPU v8 award is largely confirmed. For TPU v9, we believe that the design win outcome is becoming quite binary now – our channel checks indicate that Mediatek and Broadcom are working on TPU v9 designs that are functionally quite similar, but with different approaches and supply chain partners. Our channel checks indicate Broadcom is working with Google's functional design team (the primary and longstanding TPU design team) on an end-to-end chip design, leveraging TSMC's N2P process, 3DSolC packaging and CoWoS-L, with most key IP (such as 448G Serdes etc.) developed in-house, on a version called Pumafish. We believe this has 4 compute dies, 12 HBM4e stacks and 3-4 I/O / Serdes dies, with a very large package size. At the same time, our channel checks indicate Mediatek is working with Google's secondary chip-design team, on a v9 version called Humufish with a semi-CoT approach - Compute dies largely handled by Google's in-house design, while Mediatek is in charge of some elements of the Compute die design, PCIe, Serdes IP and Chiplets as well as overall integration. The design layout also looks fairly similar to Pumafish, based on our checks with 4 compute dies, 12 HBM4e stacks and 2-3 I/O and Serdes dies.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Neutral

2454.TW, 2454.TT

Price (15 Apr 26): NT\$1,790.00

Price Target (Dec-26): NT\$1,600.00

Technology and Telecoms

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Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	18.31	14.74	21.42
Q2	17.39	13.07	21.59
Q3	15.72	13.50	22.39
Q4	14.29	20.75	20.33
FY	65.71	62.06	85.73

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	39	30	25	17	29
Growth	44	49	71	48	42
Momentum	44	39	19	70	11
Quality	34	19	33	50	73
Low Vol	48	57	62	65	62
ESGQ	85	20	22	22	10

See page 22 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	25.2%	4.1%	20.1%	29.2%
Rel	-1.6%	-5.9%	0.9%	-55.7%

Company Data

Shares O/S (mn)	1,599
52-week range (NT\$)	1,975.00-1,130.00
Market cap (\$ mn)	90,476
Exchange rate	31.63
Free float (%)	87.1%
3M ADV (mn)	9.84
3M ADV (\$ mn)	525.2
Volatility (90 Day)	49
Index	TAIEX
BBG ANR (Buy Hold Sell)	30 2 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	595,966	625,132	761,166	960,927
Adj. EBIT	103,470	96,161	140,096	170,009
Adj. EBITDA	116,806	110,422	155,254	186,102
Adj. net income	105,319	99,546	137,499	164,221
Adj. EPS	65.71	62.06	85.73	102.39
BBG EPS	66.45	63.92	98.22	136.02
Cashflow from operations	141,195	56,846	168,428	178,060
FCFF	115,710	41,927	153,349	162,070
Margins and Growth				
Revenue Growth Y/Y (%)	12.3%	4.9%	21.8%	26.2%
EBIT margin	17.4%	15.4%	18.4%	17.7%
EBIT Growth Y/Y (%)	1.0%	(7.1%)	45.7%	21.4%
EBITDA margin	19.6%	17.7%	20.4%	19.4%
EBITDA Growth Y/Y (%)	1.6%	(5.5%)	40.6%	19.9%
Net margin	17.7%	15.9%	18.1%	17.1%
Adj. EPS growth	(1.1%)	(5.5%)	38.1%	19.4%
Ratios				
Adj. tax rate	15.0%	12.2%	12.6%	12.6%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	26.4%	24.4%	31.0%	33.0%
Valuation				
FCFF yield	4.0%	1.5%	5.3%	5.6%
Dividend yield	3.0%	3.0%	2.8%	3.9%
EV/Revenue	4.7	4.3	3.5	2.8
EV/EBITDA	23.9	24.4	17.2	14.4
Adj. P/E	27.2	28.8	20.9	17.5

Summary Investment Thesis and Valuation

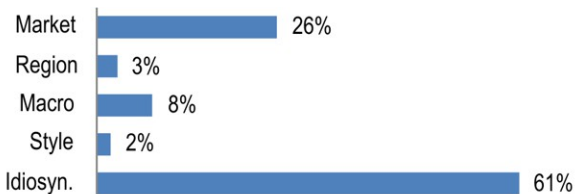
Investment Thesis

We remain Neutral on Mediatek, despite management being quite positive on the AI ASIC ramp, given the outcomes on TPU design wins are starting to become more binary in nature, especially starting with TPU v9. We believe there is a higher chance that the project award moves largely in Broadcom's favor and competition within Google's Compute fabric is also rising, with the recent award of an SRAM-based compute chip (similar to Groq LPU) to Marvell, shrinking Mediatek's share within the Google Compute pie and bringing Marvell as a potential competitor for TPU v10 RFIs. New entrants will likely compress Mediatek's margins as Google further pursues its CoT path. For its core business, on the other hand, we expect to see continued downward revisions for Smartphone revenues, given sluggish China Android demand, driven by ongoing memory price hikes, despite flagship SoC demand remaining resilient due to lower price elasticity.

Valuation

Our Dec-26 PT of NT\$1,600 is based on a SoTP valuation (15x 12M fwd core earnings + 25x 12M fwd ASIC-related earnings). The core earnings multiple is at the low end of Mediatek's long-term multiple range due to gross margin pressure in the core business and sluggish revenue growth in the near term, while we also reflect higher valuation for the recent optimism on ASIC projects.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: Taiwan	0.61	0.51
	0.20	0.20
Macro:		
JPM Global Equity Sentiment	0.23	0.22
Generic 1st 'CO' Future	-0.27	-0.22
Markit EM Composite PMI SA	0.10	0.18
Quant Styles:		
Quality	0.25	0.10
Value	0.12	0.07
DivYld	0.05	0.04

Our checks indicate that Mediatek is leveraging TSMC's N2P 3D SoIC packaging and Intel's EMIB-T back-end process (in place of CoWoS-L for Broadcom PumaFish), while Serdes speeds also appear to be lower (300G class Serdes). Based on our assessment, the functionality of these two chips appear similar, which increases the risk of a binary outcome for Mediatek, since we believe that Google will eventually select only one chip design to go into high volume production (this appears similar to the Trn3 competition between Alchip and Marvell back in 2024-25, in our view). Given the meaningful step-up in design and execution complexity for Mediatek (from ZebraFish to HumuFish, with 4 compute dies, 3D packaging, etc.), a weaker Serdes IP suite compared to Broadcom and a riskier bet on Intel EMIB-T packaging, we believe that the balance of risks is against Mediatek on this project. In our view, this creates more risk to Mediatek's ability to ramp up this project in sizeable volumes at comparable timelines to Broadcom and drive ASIC revenues to reach \$15-20bn or higher in 2028 (JPMe base case ~\$10bn USD in 2028E).

- **Examining the bull and bear-case outcomes for TPU revenue in 2028:** We have outlined a bull-bear case scenario analysis for the TPU revenue outcomes in 2027/28. In the bull-case scenario, assuming that Mediatek's HumuFish ASIC is ramping up to a third of TPU v9 volumes in 2028 (15% probability, in our view), we see Mediatek's ASIC revenues reaching \$25bn in 2028, which would justify a 2028E EPS of NT\$176, 70+% higher than our base case outcome. In our bear-case scenario, assuming HumuFish doesn't make it on time, with only 13% share in the TPU v9 family in 2028 (30% probability, in our view), we see Mediatek's ASIC revenues reaching \$6bn, driving a 2028E EPS of NT\$84 (18% lower than our base case outcome). A composite share price fair value (using a SoTP approach) based on the assigned probabilities for each outcome gives us a Dec-26 / Dec-27 fair value of NT\$1,800 / NT\$2,130 per share, which is not a significant upside from current levels. See Tables 2-4 for the detailed scenario analysis and assumptions. This illustrates (1) how much of the fair value will rest on a risky and likely binary TPUv9 design outcome, and (2) how important it is for the bull-case scenario to pan out for us to justify meaningful share price upside on a 2-year view.
- **Is there a middle path for TPU v9 with a higher degree of certainty, similar to TPU v8?** TPU v8 has been a more certain design cycle for Mediatek since both Broadcom and Mediatek were tasked with working on very different designs aimed at different compute tasks, with limited risk of cannibalization. However, v9 seems to be a straight bake-off between these two approaches. Given the similarity in functionality for both designs, we do not see a middle path where both chips are ramping in high volume. We also believe that TPU v8 generation is at risk of falling behind NVDA Rubin on absolute performance, a factor that is driving a much more significant upgrade in specs for TPU v9 (upgrade to 4 compute dies, 12 HBM cubes of HBM4e, etc.). With such an aggressive move up in technology, we believe that it is natural that Google relies much more heavily on Broadcom, which may also explain the recent 5-year long-term deal that Google signed with Broadcom (see [link](#)).
- **The Google AI Compute space is also getting more competitive, with one more new entrant:** Our recent supply chain research is indicating that GOOG is also developing an SRAM Compute engine to offload latency-sensitive AI compute tasks within the TPU v9 generation (similar to NVDA Groq LPU) and is likely to work with another US fabless competitor to design this chip, leveraging its custom SRAM solutions. We believe this is likely to take away significant wallet share of the total AI Compute TAM from core TPUs, while also increasing the likelihood of this new vendor becoming more active in future CoT-based TPU projects. We believe that TPU v10 project is now entering the RFI stage—we believe Broadcom is already guaranteed a design project (likely IceFish), while other vendors (including Mediatek etc.) are likely competing for the second / third design.
- **Recent TPU v8 execution issues look minor, should meet our expectations despite delays and re-spins:** Contrary to recent concerns about TPU v8 re-tapeout, we believe that Mediatek's first at least 300K units of TPU v8x (ZebraFish) should still complete

shipping in 2H26 (thus reaching the \$1bn+ revenue target). Our checks indicate that Mediatek is working on an enhanced version of Zebrafish, which is currently undergoing a re-tapeout at TSMC, which will make up most of the 1.5mn unit shipment in 2027, depending on the outcome of the re-tapeout (by Jun-26). We believe that our current estimates (0.4mn/1.5mn units in 2026/27E) for TPU v8 should be largely achievable, although meaningful upside in 2027 depends on: 1) N3 and CoWoS-S availability at TSMC, 2) HBM3e supply from SK Hynix, and (3) internal demand, given this chip is for specific inference use cases and not for external sale (that would be mostly Broadcom (Ironwood v7 and Sunfish v8ax)). One potential point of further delay is likely to be server board level testing at Google, which has not yet commenced in full swing.

- **Can Mediatek diversify its DC ASIC exposure? Looks quite challenging:** In our view, diversification with DC ASIC is quite challenging, given there are only 4-5 customers with likely sizeable ASIC projects – Google, AWS, MTIA, MAIA and Tesla. We don't expect Mediatek to compete for AWS Trainium sockets given the full CoT approach and much lower margin profile. MTIA Arke was a project that Mediatek was running for in 2H25, but since the changes in Meta Superintelligence Labs, we believe the emphasis on ASICs has diminished and most new ASICs are likely to be sticking with Broadcom (given the GW scale framework deal announced recently - [link](#)). MAIA is still very early and MAIA 300 is likely to be with Marvell and the success of this project may push Microsoft to stick with Marvell. Tesla remains a wildcard, given the recent restart of the Dojo ASIC project, but is also likely to be quite competitive, with Samsung-aligned vendors likely to have a better chance of success, given the preference of US manufacturing.
- **Smartphone revenues continue to see downward revisions, given weak China Android demand:** Given the ongoing memory price hike, Smartphone OEMs (especially in China) are forced to raise product prices across their portfolio, resulting in a meaningful downtick in volumes YoY. As memory price increases continue, we expect smartphone units and Mediatek's Mobile revenues to see continued downward pressure through 2026 (JPMe China Smartphone OEM shipments to decline 15–20% YoY in 2026; see our note, [link](#)). Overall, we project Mediatek's smartphone revenue to decline ~10% YoY in 2026, largely weighed down by softness in the mid-to-low-end segment, though partially offset by relatively resilient flagship SoC demand given lower price elasticity compared to mid-to-low-end tiers. Given recent commentary on the supply chain, we think this number could weaken further, especially given Apple's strength in the China market (YTD units up 20+%, vs. Android down 10%).
- **What to expect in 1Q26 earnings conference call:** MediaTek will hold its 1Q26 earnings call in the last week of April, and we expect the company to guide 2Q26 revenue down low-to-mid single digits QoQ (JPMe: -3% QoQ) with 45-46% GM (JPMe: 45.8%, flat QoQ), driven by continued sluggish Smartphone SoC demand. Key discussion points are likely to include: 1) Mediatek's smartphone outlook and margin floor given the 15–20% YoY decline in Android smartphone demand, 2) progress and near-term contribution from its current ASIC project (TPU v8x), where we expect management to reiterate confidence in achieving the US\$1+bn ASIC revenue target in 2026 and scaling to multi-billion revenue in 2027, 3) updates on the next-generation ASIC (TPU v9) roadmap and competitive positioning vs. Broadcom and potential new entrants, and 4) the potential for incremental ASIC wins beyond the current CSP customer.

Note: Alphabet (GOOGL, OW), Amazon.com (AMZN, OW) and Meta Platforms (META, OW) are covered by Doug Anmuth. Broadcom (AVGO, OW), Marvell Technology (MRVL, OW) and NVIDIA (NVDA, OW) are covered by Harlan Sur. Apple (AAPL, OW) is covered by Samik Chatterjee, CFA. Microsoft (MSFT, OW) is covered by Mark R. Murphy. Tesla (TSLA, UW) is covered by Ryan Brinkman.

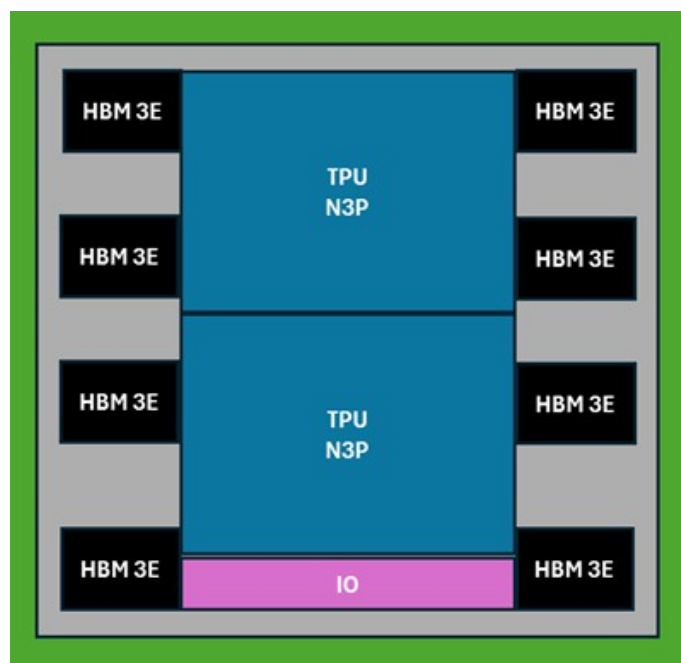
TPU v9 outcomes quite binary given a straight bake-off between Mediatek and Broadcom

We believe that the market discussion is moving on to TPU v9 design and project award probability for MediaTek, since the TPU v8 award is largely confirmed. For TPU v9, we believe that the design win outcome is becoming quite binary now – our channel checks indicate that Mediatek and Broadcom are working on TPU v9 designs that are functionally quite similar, but with different approaches and supply chain partners.

Broadcom TPU V9 (Pumafish): Broadcom appears to be working with Google’s functional design team (the primary and longstanding TPU design team) with end-to-end chip design, leveraging TSMC’s N2P process, 3DSoIC packaging and CoWoS-L, with most key IP (such as 448G Serdes etc.) developed in-house. This has 4 compute dies, 12 HBM4e stacks and 3-4 I/O / Serdes dies, with a very large package size.

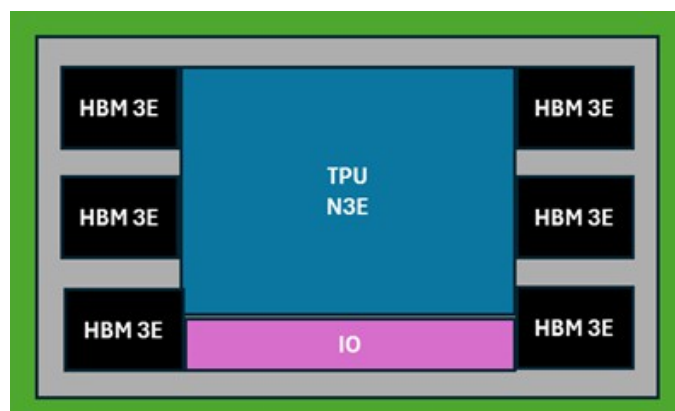
Mediatek TPU V9 (Humufish): At the same time, Mediatek appears to be working with Google’s secondary chip-design team, on a v9 version called Humufish with a semi-CoT approach - Compute dies largely handled by Google in-house design, while Mediatek is in charge of some elements of Compute die design, PCIe, Serdes IP and Chiplets as well as overall integration. The design layout also looks fairly similar, based on our checks with 4 compute dies, 12 HBM4e stacks and 2-3 I/O and Serdes dies. Our checks indicate that Mediatek is leveraging TSMC N2P, 3D SoIC packaging and Intel EMIB-T back-end process (in place of CoWoS-L for Broadcom Pumafish), while Serdes speeds also appear to be lower (300G class Serdes).

Figure 1: TPU v8 Sunfish



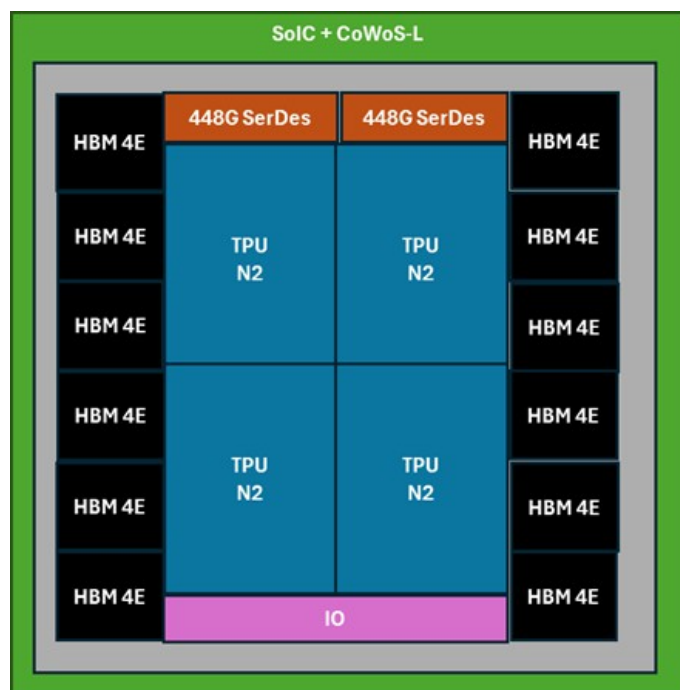
Note: JPM representation of the TPU package structure based on supply chain checks.
Source: J.P. Morgan.

Figure 2: TPU v8 Zebrafish



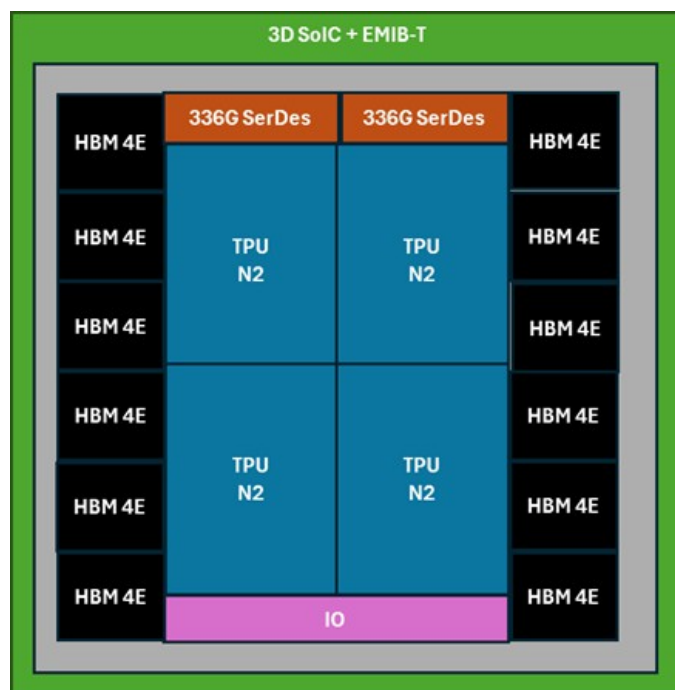
Note: JPM representation of the TPU package structure based on supply chain checks.
Source: J.P. Morgan.

Figure 3: TPU v9 (Pumafish)



Note: JPM representation of the TPU package structure based on supply chain checks.
Source: J.P. Morgan.

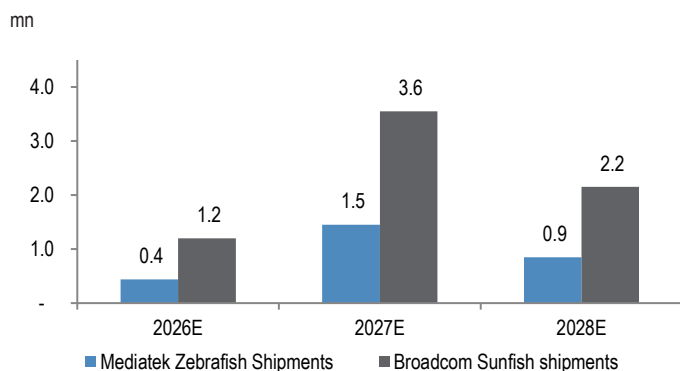
Figure 4: TPU v9 (Humufish)



Note: JPM representation of the TPU package structure based on supply chain checks.
Source: J.P. Morgan.

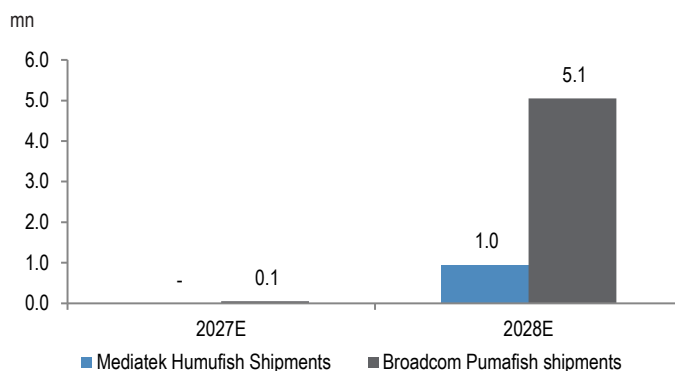
Based on our assessment, the functionality of these two chips appears largely similar, which increases the risk of a binary outcome for Mediatek, since we believe that Google will eventually select only one chip design to go into high volume production (this appears similar to the Trn3 competition between Alchip and Marvell back in 2024-25, in our view).

Figure 5: MediaTek and Broadcom TPU v8 volume



Source: J.P. Morgan estimates.

Figure 6: MediaTek and Broadcom TPU v9 volume

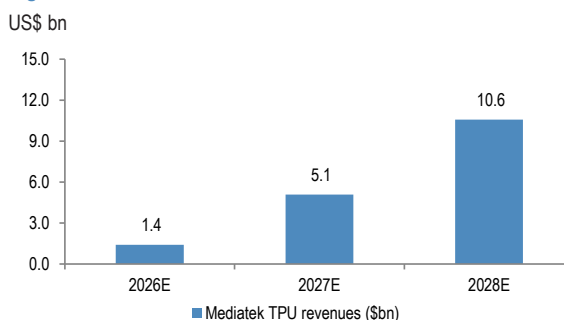


Source: J.P. Morgan estimates.

We believe that the balance of risks is against Mediatek on this project, given: 1) the step-up in design complexity (from Zebrafish to Humufish, with 4 compute die, 3D packaging, etc.), 2) weaker Serdes IP, compared to Broadcom, and 3) a riskier bet on Intel EMIB-T packaging. In our view, this lends a lot more risk towards Mediatek's ability to ramp up this project in sizeable volumes at comparable timelines to Broadcom

and drive ASIC revenues to reach \$15-20bn or higher in 2028 (JPMe base case ~\$10bn USD in 2028).

Figure 7: MediaTek TPU revenues



Source: J.P. Morgan estimates.

Mediatek: DC ASIC Key Assumptions

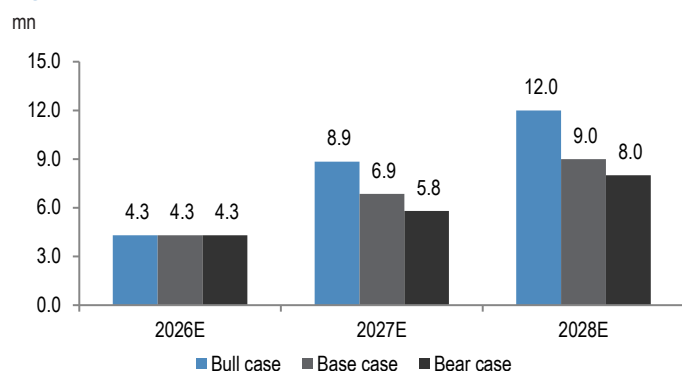
	2026E	2027E	2028E
ASIC Revenue (US\$mn)	1,521	5,211	10,725
TPU v8 Zebrafish			
Units (mn)	0.4	1.5	0.9
ASP (US\$)	3,200	3,500	3,500
Revenue (US\$mn)	1,408	5,075	2,975
TPU v9 Humufish			
Units (mn)	-	-	1.0
ASP(US\$)	-	-	8,000
Revenue (US\$mn)	-	-	7,600
Other Enterprise ASIC			
Revenue (US\$mn)	114	136	150

Source: J.P. Morgan estimates.

Examining the bull- and bear-case outcomes for TPU revenue in 2028

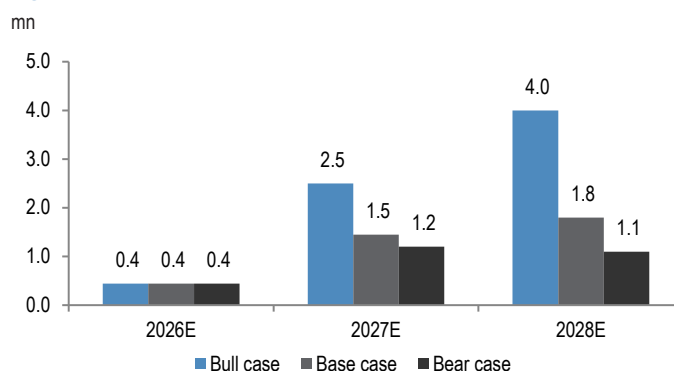
We have run a bull-bear case scenario analysis on the TPU revenue outcomes in 2027/28.

Figure 8: Total TPU shipments



Source: J.P. Morgan estimates.

Figure 9: MediaTek TPU shipments



Source: J.P. Morgan estimates.

In the base case, we have modeled total TPU shipment of 6.9mn/9.0mn units in 2027/28, while MTK accounts for 1.5mn/1.85mn TPU units (~20% share). That would translate into TPU revenue of \$5.1bn/\$10.6bn in 2027/28E for Mediatek.

Table 1: MediaTek - Base Case scenario

Base Case Scenario	2027E	2028E
TPU volume (mn)	6.9	9.0
V8 volume (mn)	5.0	3.0
V9 volume (mn)	0.1	6.0
MTK TPU volume (mn)	1.5	1.8
MTK Zebrafish shipments (mn)	1.5	0.9
MTK Humufish shipments (mn)	-	1.0
% unit share for Mediatek	21%	20%
MTK Revenue (US\$bn)	5.1	10.6
Overall EPS (NT\$)	86	102

Source: J.P. Morgan estimates.

In the bull-case scenario, we assume that Mediatek's Humufish ASIC is ramping up to a third of TPUv9 volumes in 2028 (15% probability, in our view). We assume total TPU demand of 8.9mn/12.0mn total units in 2027/28, while Mediatek ships 2.5mn/4.0mn units (28%/33% share). That would translate into TPU revenue of \$8.8bn/\$25.3bn in 2027/28 for Mediatek.

In this scenario, we believe a 2028 EPS of NT\$176 can be justified, 72% higher than our base case outcome, although as mentioned before it would require a much faster design curve and flawless execution on a much more complex design compared to TPU v8.

Table 2: MediaTek - Bull Case scenario

Bull Case Scenario	2027E	2028E
TPU volume (mn)	8.9	12.0
V8 volume (mn)	7.0	5.0
V9 volume (mn)	0.1	7.0
MTK TPU volume (mn)	2.5	4.0
MTK Zebrafish shipments (mn)	2.5	1.5
MTK Humufish shipments (mn)	-	2.5
% unit share for Mediatek	28%	33%
MTK Revenue (US\$bn)	8.8	25.3
Overall EPS (NT\$)	108	176

Source: J.P. Morgan estimates.

In our bear-case scenario, assuming Humufish doesn't really make it on time, with only 13% share in the TPU v9 family in 2028. We assume total TPU demand of 5.8mn/8.0mn total units in 2027/28, while Mediatek ships 1.2mn/1.1mn units (21%/14% share). That would translate into TPU revenue of \$4.2bn/\$6.1bn in 2027/28 for Mediatek.

In this scenario, 2028 EPS would reach ~NT\$84, 18% lower than our base-case outcome.

Table 3: MediaTek - Bear Case scenario

Bear Case Scenario	2027E	2028E
TPU volume (mn)	5.8	8.0
V8 volume (mn)	4.0	4.0
V9 volume (mn)	-	4.0
MTK TPU volume (mn)	1.2	1.1
MTK Zebrafish shipments (mn)	1.2	0.6
MTK Humufish shipments (mn)	-	0.5
% unit share for Mediatek	21%	14%
MTK Revenue (US\$bn)	4.2	6.1
Overall EPS (NT\$)	83	84

Source: J.P. Morgan estimates.

A composite share price fair value based on the assigned probabilities for each outcome gives us Dec-26 and Dec-27 fair values of NT\$1,800 and NT\$2,130, respectively, which does not represent a significant upside from current levels.

This illustrates (1) how much of the fair value will rest on the TPU v9 outcome, which is increasingly becoming a binary one, and (2) how important it is for the bull-case scenario to pan out for us to justify meaningful share price upside on a 2-year view, compared to other AI semi enabler vendors such as TSMC, ASE, Substrates, etc.

Is there a middle path for TPU v9 with a higher degree of certainty, similar to TPU v8?

TPU v8 has been a more certain design cycle for Mediatek since both Broadcom and Mediatek were tasked with working on very different designs aimed at different compute tasks, with limited risk of cannibalization. However, v9 seems to be a straight bake-off between these two approaches. Given the similarity in functionality for both designs, we do not see a middle path where both chips are ramping in high volume.

We also believe that Google TPU v8 design is at risk of falling behind Vera-Rubin on absolute performance, which we believe is also driving this significant upgrade in specs: From V8 to V9, the number of compute dies will increase from 1-2 to 4, with node migrating from N3 to N2, with HBM migrating from 6-8 HBM3e cubes to 12 HBM4e, with significant upgrades in i/o, Serdes IP, etc.

With such an aggressive move up in technology, we believe it is natural that GOOG relies much more heavily on Broadcom, which may also explain the recent 5-year long-term deal that GOOG signed with Broadcom ([link](#)).

The Google AI Compute space is also getting more competitive, with one more new entrant

Similar to NVDA introducing Groq 3 LPU (Language Processing Unit), which is mainly used for fast decoding (FFN or feed forward networks) for LLM inference workload from Vera Rubin, our checks indicate that Google is also developing an SRAM compute engine to offload latency-sensitive AI compute tasks within the TPU v9 generation. Supply chain research indicates that Google is likely to work with another US Fabless competitor for this LPU-like chip, leveraging its in-house custom SRAM IP. We expect this to reduce the aggregate AI compute TAM available for Mediatek. In addition, we expect that this new vendor could also become a competitor for future TPU projects.

Looking ahead to TPU v10, we believe the project is now entering the RFI stage, and Broadcom has already guaranteed a design (codename likely to be Icefish, per our channel checks). For the second design, other vendors including Mediatek, are likely to be competing for other designs within the v10 family as part of Google's CoT model.

Recent TPU v8 execution issues look minor; should meet our expectations despite delays and respins

Recent media reports ([link](#)) on the TPU v8x Zebrafish re-tapeout suggest the schedule could be pushed out to mid-2026. We believe there could be a re-tapeout for some performance reasons, but we still expect Mediatek to ship its first batch of chips (at least 300K units of TPU v8x) by 2H26, making its \$1bn+ revenue goal achievable. Post the re-tapeout, we expect Zebrafish to have a performance enhanced version (likely available by 3Q or 4Q26), which should make up the majority of the 1.5mn unit shipment in 2027E.

We now expect 0.4mn/1.5mn units of TPU v8 in 2026/27, and we believe these estimates should be largely achievable. However, further upside in 2027 still depends on a few factors:

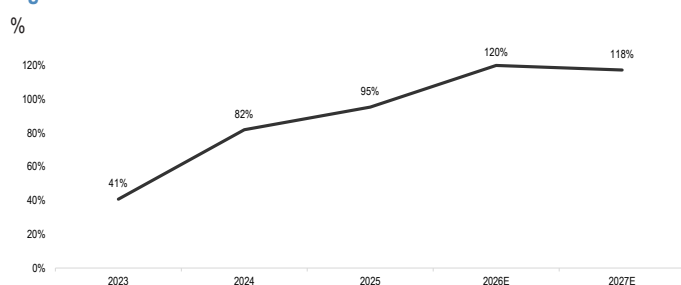
1. Availability of N3 and CoWoS-S: We expect N3 to run at 110+% UTR in 2027,

despite TSMC ramping up supply by late 2026, and CoWoS remaining tight with ~20% S/D gap.

2. HBM3e supply from SK Hynix: Given that HBM3E supply is still tight, and is likely to persist until at least into 2027.
3. Internal demand at Google: Given that this chip is for specific inference use cases, while external sales would be mostly on Broadcom versions, such as Ironwood v7 and Sunfish v8ax.

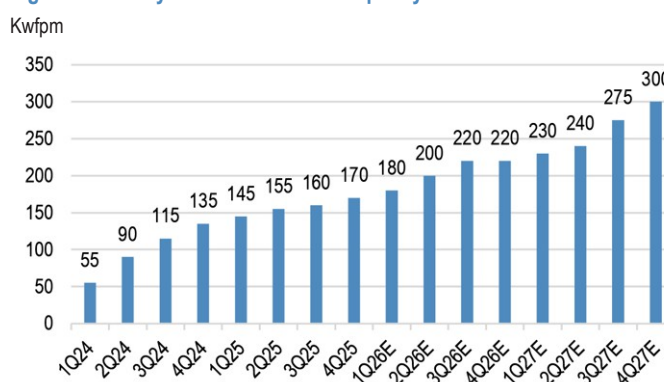
One potential point of further delay for TPU v8 is likely to be server board level testing at Google, which has not started at full scale at the moment.

Figure 10: TSMC N3 UTR trend



Source: J.P. Morgan estimates for 2023-2027.

Figure 11: SK hynix HBM back-end capacity trend



Source: Company data, J.P. Morgan estimates.

Can Mediatek diversify its DC ASIC exposure?

While Mediatek continues to engage with several customers to secure large-scale ASIC projects with key CSPs, we believe diversifying its DC ASIC exposure remains challenging, given that only 4–5 customers (Google, AWS, Microsoft, Meta, and Tesla) can offer sizeable ASIC projects with meaningful revenue contributions.

We believe Mediatek has limited interest in pursuing the AWS Trainium projects, given Amazon's full CoT approach and lower margin profile, where ASIC vendors provide only back-end solutions (Alchip earns low double-digit gross margins on AWS Trainium projects, compared to ~40% gross margins on Mediatek's TPU projects).

For MAIA, the project remains in its early stages with limited volume in 2026, with stronger ramp in 2027 driven by MAIA 300 MP (JPMe 200K/900K units for MAIA in 2026/27). Our channel checks indicate MAIA 300 design service will likely be shifting from GUC to Marvell. The success of this project may reinforce Microsoft's preference for Marvell going forward.

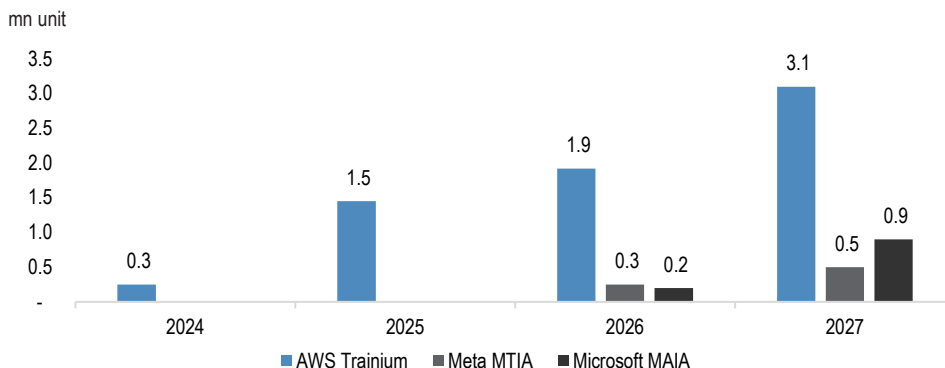
Tesla remains a wildcard, given the recent restart of the Dojo 3 ASIC project, though competition is expected to be intense, with Samsung-aligned vendors likely holding an advantage given their preference for US-based manufacturing.

For Meta, Mediatek participated in the RFQ for MTIA Arke in 2H25, with Meta concurrently engaging Marvell for the same project. However, since the changes at Meta Super Intelligence Labs, we believe the emphasis on ASICs has diminished and most new ASICs are likely to stick to Broadcom (especially after the GW scale deal

announcement this week - [link](#)).

Overall, we do not expect Mediatek to secure a second CSP AI ASIC project in the near term, and anticipate the company will continue to focus on low-end Google TPU chips over the next few years.

Figure 12: Trainium, MTIA, MAIA volume shipment



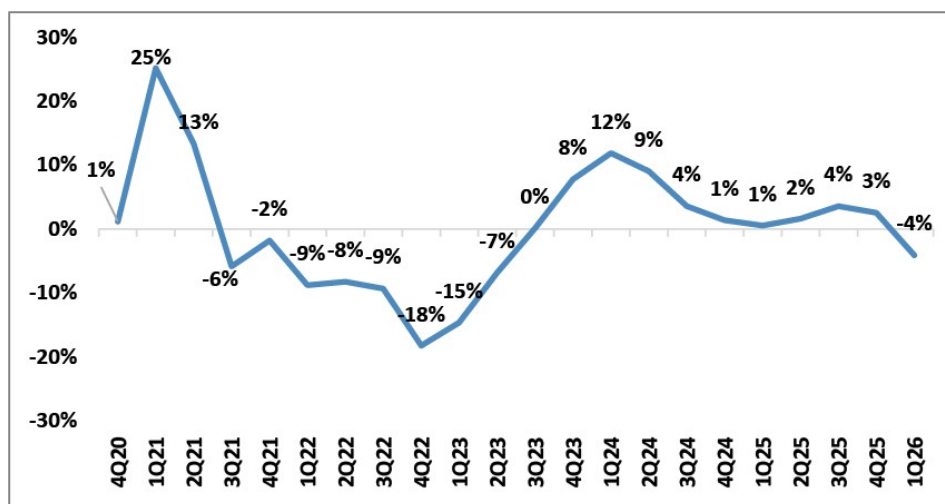
Source: J.P. Morgan estimates for 2024-2027.

Smartphone revenues continue to see downward revisions, given weak China Android demand

Given the ongoing memory price hike, Smartphone OEMs (especially in China) are forced to raise product prices across their portfolio, resulting in a meaningful downtick in volumes yoy.

According to IDC, global smartphone shipments in 1Q26 declined 14% QoQ — worse than the typical seasonal decline of ~12% QoQ — translating to a 4% YoY decline in 1Q26, ending ten consecutive quarters of YoY growth.

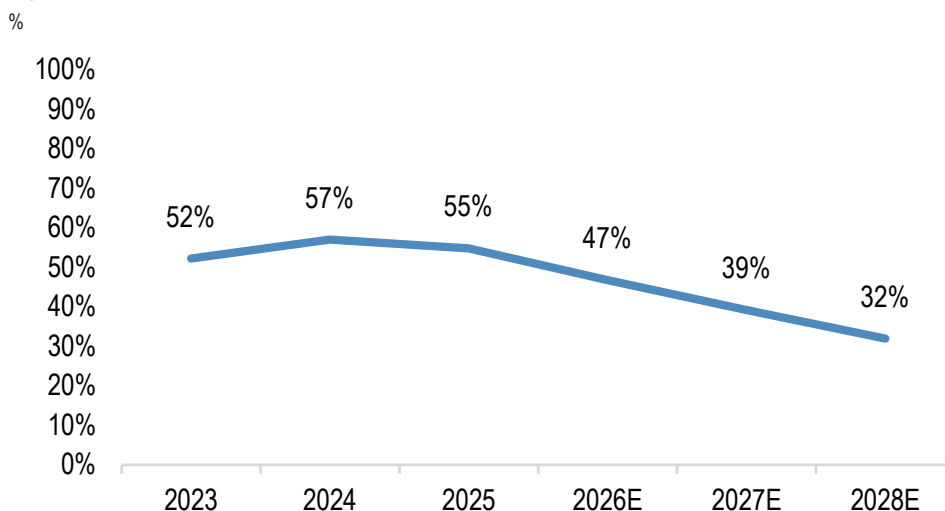
Figure 13: Global Smartphone shipment YoY



Source: IDC

As memory price increases continue, we expect global Smartphone units and Mediatek's Mobile revenues to see continued downward pressure through 2026 (JPMe China smartphone OEM shipments to decline 15–20% YoY in 2026; see our note, [link](#)). This represents a meaningful drag on Mediatek's overall revenue growth and remains one of the key market concerns for the stock, given that Smartphones accounted for ~55% of revenue in 2025.

Figure 14: MediaTek mobile revenue contribution



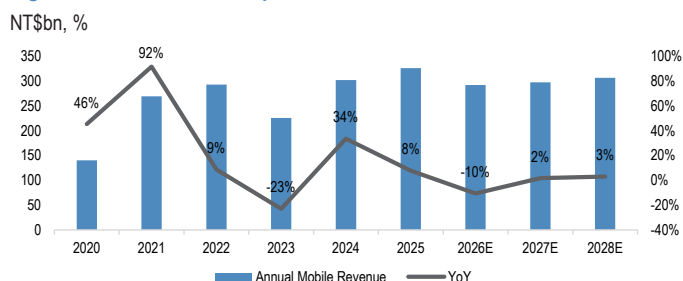
Source: J.P. Morgan estimates, Company data.

Overall, we project Mediatek's smartphone revenue to decline ~10% YoY in 2026, largely weighed down by softness in the mid-to-low-end segment, though partially offset by relatively resilient flagship SoC demand, which benefits from lower price elasticity compared to mid-to-low-end tiers.

Key upside risks include potential market share gains from Mediatek's next-generation 2nm flagship SoC, expected to launch in 2H26, with Mediatek actively working toward an improved cost structure and more efficient design that should offer better gross margins relative to the incumbent Dimensity 9500 flagship SoC.

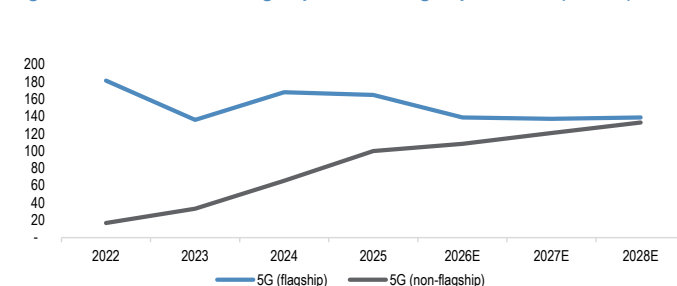
However, given recent commentary in the supply chain, we think our current smartphone revenue forecast could weaken further, especially given Apple's strength in the China market (YTD units up 20+%, vs. Android down 10%).

Figure 15: MediaTek Smartphone annual revenue and YoY



Source: J.P. Morgan estimates, Company data.

Figure 16: MediaTek 5G flagship vs. non-flagship revenue (NT\$bn)



Source: J.P. Morgan estimates, Company data.

What to expect in 1Q26 earnings conference call

Mediatek is set to hold its 1Q26 earnings call in the last week of April.

For 2Q guidance, we expect the company to guide revenue to be down low-to-mid single digits QoQ (JPMe: -3% QoQ) with 45-46% GM (JPMe: 45.8%, flat QoQ), driven by continued sluggish smartphone SoC demand.

Key discussion points are likely to include:

- 1) Mediatek's smartphone outlook and the margin floor given the 15–20% YoY unit decline in Android smartphone demand;
- 2) Progress and near-term contribution from its current ASIC project (TPU v8x)—where we expect management to reiterate confidence in achieving the US\$1+bn ASIC revenue target in 2026 and scaling to multi-billion revenue in 2027;
- 3) Updates on the next-generation ASIC (TPU v9) roadmap and competitive positioning versus Broadcom and potential new entrants; and
- 4) The potential for incremental ASIC wins beyond the current one CSP customer.

Mediatek: SoTP Valuation

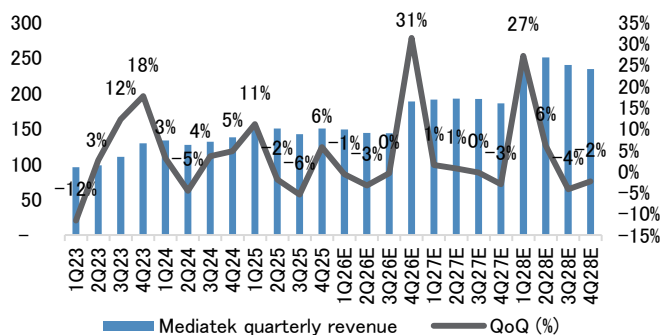
NT\$/x	
NT\$ / x	2027E
Core business	
Core earnings per share	57
Core PE multiple	15x
Core business value per share	882
DC ASIC business	
DC ASIC earnings per share	28
DC ASIC PE multiple	25x
DC ASIC business value per share	718
MediaTek Dec-26 SoTP	1,600

Source: J.P. Morgan estimates.

Key charts

Mediatek – Quarterly revenue and qoq

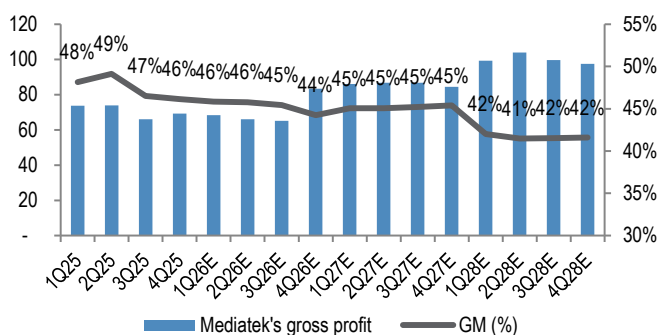
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Mediatek – Gross profit and GM (quarterly)

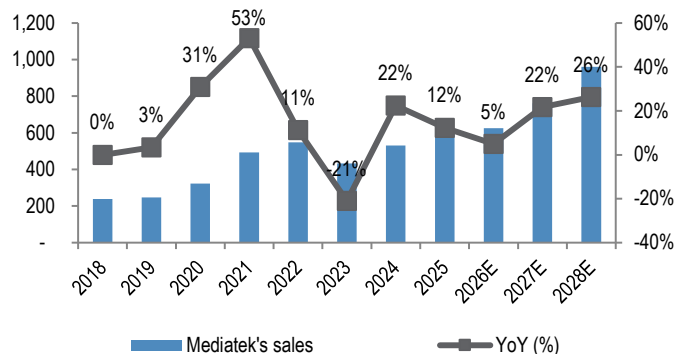
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Mediatek – Annual revenue and yoy

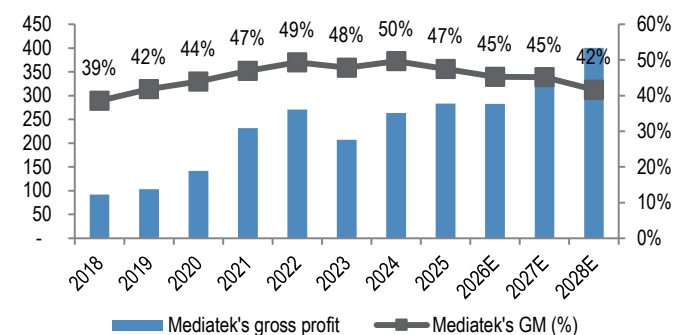
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Mediatek – Gross profit and GM (annual)

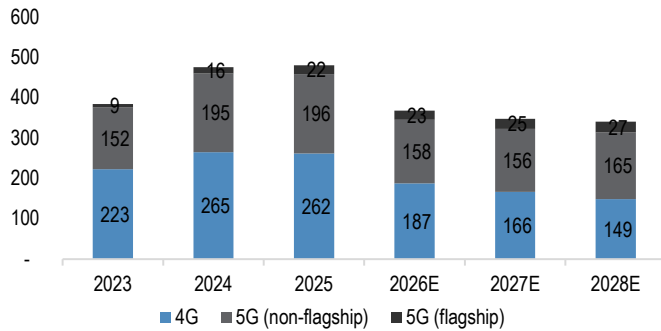
NT\$ in billions, %



Source: Company data, J.P. Morgan estimates.

Mediatek – Smartphone shipment breakdown

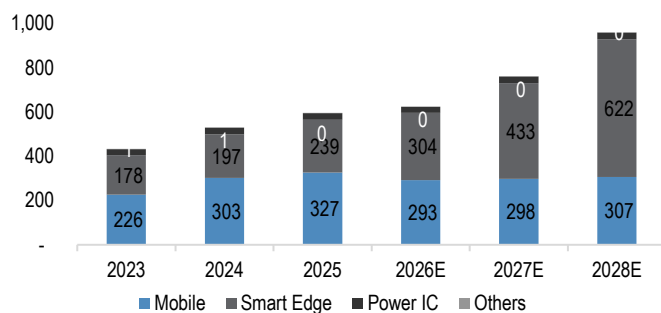
Units in millions



Source: Company data, J.P. Morgan estimates.

Mediatek – Revenue by segment

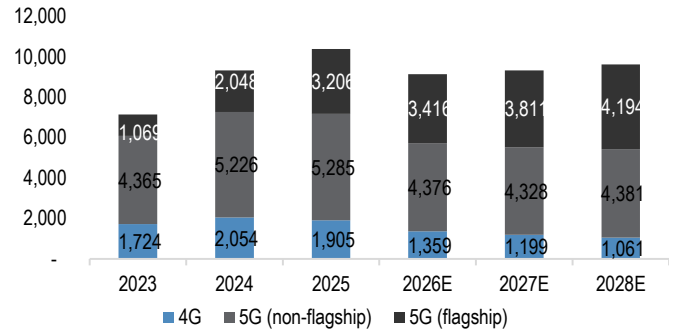
NT\$ in billions



Source: Company data, J.P. Morgan estimates.

Mediatek – Smartphone revenue breakdown

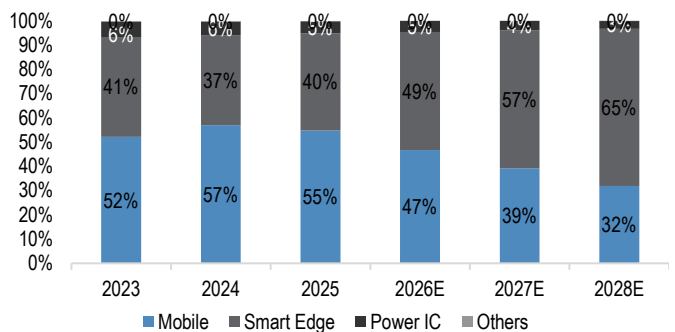
US\$ in millions



Source: Company data, J.P. Morgan estimates.

Mediatek – Revenue mix by segment

%



Source: Company data, J.P. Morgan estimates.

Estimate revisions

Mediatek – Quarterly estimate revisions

NT\$ million	Revised			Prior			Change (%)		
	1Q26E	2Q26E	3Q26E	1Q26E	2Q26E	3Q26E	1Q26E	2Q26E	3Q26E
Revenues	149,151	144,135	143,440	144,613	142,225	150,469	3%	1%	-5%
Gross profit	68,364	65,996	65,194	66,279	65,077	68,505	3%	1%	-5%
GM (%)	45.8%	45.8%	45.5%	45.8%	45.8%	45.5%	0bps	3bps	-8bps
Operating profit	22,489	20,768	19,967	21,788	21,344	22,912	3%	-3%	-13%
OPM (%)	15.1%	14.4%	13.9%	15.1%	15.0%	15.2%	1bps	-60bps	-131bps
Net profit	23,647	20,962	21,652	23,296	21,732	24,454	2%	-4%	-11%
EPS (NT\$)	14.74	13.07	13.50	14.52	13.55	15.25	2%	-4%	-11%
Smartphone Shipment (mn units)	100	92	89	100	95	99	0%	-3%	-10%
4G	50	46	46	50	48	51	0%	-3%	-10%
5G	50	46	43	50	47	48	0%	-3%	-10%
Smartphone ASP (US\$)	24.7	24.4	24.2	24.6	24.0	22.6	1%	2%	7%
Mobile revenue	79,448	71,527	69,038	77,348	71,510	71,322	3%	0%	-3%
Smart Edge revenue	62,651	65,804	67,192	60,428	63,573	71,583	4%	4%	-6%
Power IC revenue	6,977	6,726	7,127	6,762	7,063	7,480	3%	-5%	-5%

Source: J.P. Morgan estimates.

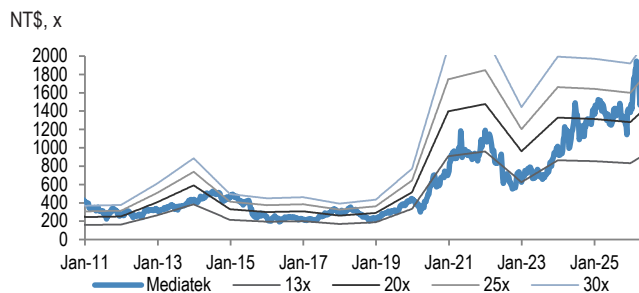
Mediatek – Annual estimate revisions

NT\$ million	Revised			Prior		Change (%)	
	2026E	2027E	2028E	2026E	2027E	2026E	2027E
Revenues	625,132	761,166	960,927	616,383	792,728	1%	-4%
Gross profit	282,897	343,931	400,273	278,132	347,343	2%	-1%
GM (%)	45.3%	45.2%	41.7%	45.1%	43.8%	13bps	137bps
Operating profit	96,161	140,096	170,009	95,407	142,224	1%	-1%
OPM (%)	15.4%	18.4%	17.7%	15.5%	17.9%	-10bps	46bps
Net profit	99,546	137,499	164,221	99,767	140,156	-0%	-2%
EPS (NT\$)	62.06	85.73	102.39	62.20	87.38	-0%	-2%
Smartphone Shipment (mn units)	368	348	341	390	387	-6%	-10%
4G	187	166	149	199	186	-6%	-10%
5G	181	181	192	191	201	-5%	-10%
Smartphone ASP (US\$)	24.9	26.8	28.3	23.6	25.1	5%	7%
Mobile revenue	292,517	297,958	307,208	290,893	309,290	1%	-4%
Smart Edge revenue	304,162	433,457	622,477	296,205	452,246	3%	-4%
Power IC revenue	28,134	29,399	30,853	28,966	30,840	-3%	-5%

Source: J.P. Morgan estimates.

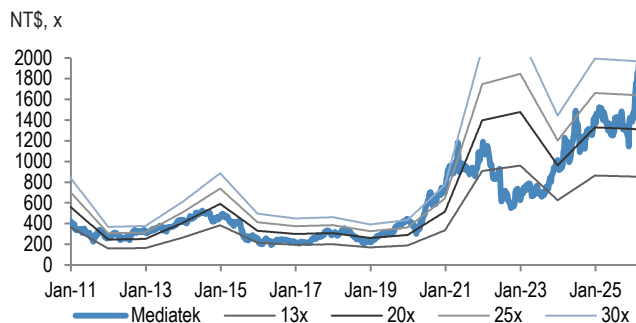
P/E and P/BV charts

Mediatek – 12-month forward P/E



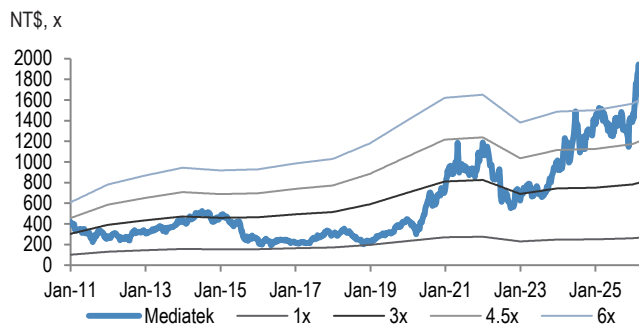
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Mediatek – 12-month trailing P/E



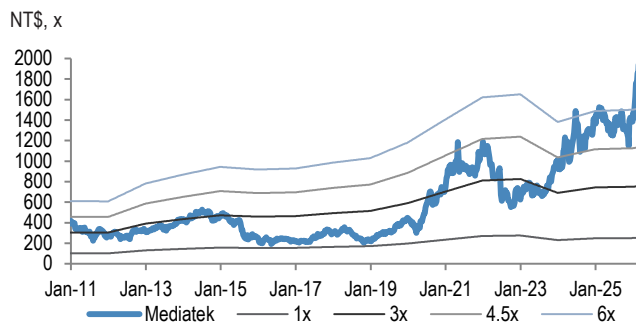
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Mediatek – 12-month forward P/BV



Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Mediatek – 12-month trailing P/BV



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Mediatek – Financials

NT\$ millions, year-end Dec.	2025				2026E				2027E				2028E				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	153,312	150,369	142,097	150,188	149,151	144,135	143,440	188,407	191,135	192,354	191,784	185,894	236,326	250,536	239,879	234,186	595,966	625,132	761,166	960,927
COGS	79,503	76,491	75,985	80,907	80,787	78,139	78,246	105,063	105,030	105,650	105,057	101,499	137,050	146,614	140,230	136,759	312,886	342,235	417,236	560,654
Gross profit	73,809	73,878	66,112	69,281	68,364	65,996	65,194	83,343	86,105	86,704	86,727	84,395	99,275	103,922	99,649	97,426	283,080	282,897	343,931	400,273
R&D expenses	35,782	36,923	36,353	39,248	37,961	37,426	37,424	41,710	42,071	41,286	41,774	43,539	45,574	48,596	47,490	48,879	148,306	154,521	168,670	190,539
Operating income	30,053	29,379	22,188	21,850	22,489	20,768	19,967	32,937	35,263	36,810	36,244	31,779	44,200	45,195	42,258	38,357	103,470	96,161	140,096	170,009
Pre-tax profit	34,553	33,228	29,960	27,147	27,181	24,661	24,604	36,984	39,483	40,740	40,803	36,236	49,241	48,685	47,395	42,546	124,888	113,430	157,263	187,867
Net profit (Reported)	29,325	27,848	25,221	22,925	23,647	20,962	21,652	33,285	34,350	34,629	35,907	32,613	42,840	41,382	41,708	38,291	105,319	99,546	137,499	164,221
New Taiwan GAAP EPS (NT\$)	18.3	17.4	15.7	14.3	14.7	13.1	13.5	20.8	21.4	21.6	22.4	20.3	26.7	25.8	26.0	23.9	65.7	62.1	85.7	102.4
Shipment units (millions)																				
Feature Phone	18	17	16	16	15	15	14	14	13	13	13	12	12	12	11	11	66	57	51	46
Smartphone	129	121	113	117	100	92	89	87	88	88	87	85	86	86	85	83	480	368	348	341
4G	71	66	62	62	50	46	46	45	43	42	41	40	38	38	37	36	262	187	166	149
5G	58	55	51	55	50	46	43	41	45	46	46	44	48	48	49	47	218	181	181	192
Total Handset	147	138	129	132	115	106	103	100	101	101	100	97	98	98	97	94	546	425	399	386
Chromebook/Tablet	15	17	16	15	17	16	14	13	12	12	12	12	11	11	11	11	63	60	47	43
ASP (US\$)																				
Feature Phone	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Smartphone	20.0	20.7	21.9	24.2	24.7	24.4	24.2	26.2	26.8	25.9	26.3	28.5	28.3	27.3	27.8	29.9	21.7	24.9	26.8	28.3
4G	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.3	7.2	7.2	7.2	7.2	7.1	7.1	7.1	7.3	7.3	7.2	7.1
5G	35.8	37.0	39.9	43.2	42.1	41.5	42.4	46.9	45.2	43.1	43.5	47.8	45.2	42.9	43.4	47.3	38.9	43.1	44.9	44.7
Total Handset	17.8	18.3	19.3	21.5	21.7	21.2	21.1	22.8	23.4	22.7	23.1	25.1	25.0	24.2	24.7	26.6	19.2	21.7	23.6	25.1
Chromebook/Tablet	8.1	8.1	8.1	8.1	9.0	9.0	10.0	10.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	11.0	8.1	9.5	11.0	11.0
Revenue Breakdown (%)																				
Mobile	56%	52%	53%	59%	53%	50%	48%	38%	39%	38%	38%	41%	33%	30%	32%	34%	55%	47%	39%	32%
Smart Edge	39%	43%	42%	37%	42%	46%	47%	58%	57%	58%	58%	54%	64%	67%	65%	63%	40%	49%	57%	65%
PMIC	5%	6%	5%	4%	5%	5%	5%	4%	4%	4%	4%	4%	3%	3%	3%	3%	5%	5%	4%	3%
Others	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Margins (%)																				
Gross margin	48.1	49.1	46.5	46.1	45.8	45.8	45.5	44.2	45.0	45.1	45.2	45.4	42.0	41.5	41.5	41.6	47.5	45.3	45.2	41.7
Operating margin	19.6	19.5	15.6	14.5	15.1	14.4	13.9	17.5	18.4	19.1	18.9	17.1	18.7	18.0	17.6	16.4	17.4	15.4	18.4	17.7
Pre-tax margin	22.5	22.1	21.1	18.1	18.2	17.1	17.2	19.6	20.7	21.2	21.3	19.5	20.8	19.4	19.8	18.2	21.0	18.1	20.7	19.6
New Taiwan GAAP net margin	19.1	18.5	17.7	15.3	15.9	14.5	15.1	17.7	18.0	18.0	18.7	17.5	18.1	16.5	17.4	16.4	17.7	15.9	18.1	17.1
Sequential Growth (%)																				
Revenue	11	-2	-6	6	-1	-3	0	31	1	1	0	-3	27	6	-4	-2	12	5	22	26
Gross profit	10	0	-11	5	-1	-3	-1	28	3	1	0	-3	18	5	-4	-2	7	0	22	16
Operating income	40	-2	-24	-2	3	-8	-4	65	7	4	-2	-12	39	2	-6	-9	1	-7	46	21
Net profit	23	-5	-9	-9	3	-11	3	54	3	1	4	-9	31	-3	1	-8	-1	-5	38	19
New Taiwan GAAP EPS	23	-5	-10	-9	3	-11	3	54	3	1	4	-9	31	-3	1	-8	-1	-6	38	19

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

MediaTek Inc. *(Neutral; Price Target: NT\$1,600.00)*

Investment Thesis

We remain Neutral on Mediatek, despite management being quite positive on the AI ASIC ramp, given the outcomes on TPU design wins are starting to become more binary in nature, especially starting with TPU v9. We believe there is a higher chance that the project award moves largely in Broadcom's favor and competition within Google's Compute fabric is also rising, with the recent award of an SRAM-based compute chip (similar to Groq LPU) to Marvell, shrinking Mediatek's share within the Google Compute pie and bringing Marvell as a potential competitor for TPU v10 RFIs. New entrants will likely compress Mediatek's margins as Google further pursues its CoT path. For its core business, on the other hand, we expect to see continued downward revisions for Smartphone revenues, given sluggish China Android demand, driven by ongoing memory price hikes, despite flagship SoC demand remaining resilient due to lower price elasticity.

Valuation

Our Dec-26 PT of NT\$1,600 is based on a SoTP valuation (15x 12M fwd core earnings + 25x 12M fwd ASIC-related earnings). The core earnings multiple is at the low end of Mediatek's long-term multiple range due to gross margin pressure in the core business and sluggish revenue growth in the near term, while we also reflect higher valuation for the recent optimism on ASIC projects.

Risks to Rating and Price Target

Key upside risks include: (1) more commitment from the leading US CSP customer to embrace the COT model wholeheartedly; (2) the first project hitting production milestones successfully; and (3) potential diversification into another CSP customer.

Key downside risks include: (1) further pressure on Smartphone SoC GMs due to cost escalations and increased competition; and (2) slower progress on the NVDA partnership, given NVDA's expanded engagement with Intel and other chip makers.

MediaTek Inc.: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25A	FY26E	FY27E		1Q26E	2Q26E	3Q26E	4Q26E	
Revenue	433,446	530,586	595,966	625,132	761,166	Revenue	149,151	144,135	143,440	188,407	
COGS	(226,079)	(267,200)	(312,886)	(342,235)	(417,236)	COGS	(80,787)	(78,139)	(78,246)	(105,063)	
Gross profit	207,367	263,386	283,080	282,897	343,931	Gross profit	68,364	65,996	65,194	83,343	
SG&A	(24,183)	(28,981)	(31,304)	(32,215)	(35,165)	SG&A	(7,914)	(7,803)	(7,802)	(8,696)	
Adj. EBITDA	82,801	114,972	116,806	110,422	155,254	Adj. EBITDA	25,961	24,330	23,561	36,570	
D&A	(11,001)	(12,560)	(13,336)	(14,261)	(15,157)	D&A	(3,472)	(3,562)	(3,594)	(3,632)	
Adj. EBIT	71,800	102,412	103,470	96,161	140,096	Adj. EBIT	22,489	20,768	19,967	32,937	
Net Interest	6,908	10,696	10,167	9,249	9,147	Net Interest	2,687	1,888	2,632	2,042	
Adj. PBT	86,782	119,519	124,888	113,430	157,263	Adj. PBT	27,181	24,661	24,604	36,984	
Tax	(9,591)	(12,378)	(18,770)	(13,884)	(19,764)	Tax	(3,533)	(3,699)	(2,953)	(3,698)	
Minority Interest	(212)	(754)	(798)	0	0	Minority Interest	0	0	0	0	
Adj. Net Income	76,979	106,386	105,319	99,546	137,499	Adj. Net Income	23,647	20,962	21,652	33,285	
Reported EPS	48.12	66.47	65.71	62.06	85.73	Reported EPS	14.74	13.07	13.50	20.75	
Adj. EPS	48.12	66.47	65.71	62.06	85.73	Adj. EPS	14.74	13.07	13.50	20.75	
DPS	76.00	54.97	53.96	53.19	50.27						
Payout ratio	102.9%	114.2%	81.2%	80.9%	81.0%						
Shares outstanding	1,600	1,601	1,603	1,604	1,604	Shares outstanding	1,604	1,604	1,604	1,604	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25A	FY26E	FY27E		FY23A	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	180,673	219,624	247,709	206,444	281,158	Gross margin	47.8%	49.6%	47.5%	45.3%	45.2%
Accounts receivable	60,641	51,770	68,597	105,301	103,897	EBITDA margin	19.1%	21.7%	19.6%	17.7%	20.4%
Inventories	43,220	58,414	67,235	103,253	86,475	EBIT margin	16.6%	19.3%	17.4%	15.4%	18.4%
Other current assets	6,354	21,217	13,916	13,916	13,916	Net profit margin	17.8%	20.1%	17.7%	15.9%	18.1%
Current assets	290,889	351,025	397,456	428,914	485,446						
PP&E	53,291	56,917	60,427	52,969	44,894	ROE	19.0%	27.8%	26.4%	24.4%	31.0%
LT investments	152,228	172,525	171,501	177,501	183,501	ROA	12.4%	16.0%	14.6%	13.1%	17.2%
Other non current assets	138,631	117,400	114,400	114,400	114,400	ROCE	15.4%	23.3%	21.4%	20.1%	26.9%
Total assets	635,038	697,868	743,785	773,784	828,241	SG&A/Sales	5.6%	5.5%	5.3%	5.2%	4.6%
						Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	7,826	8,919	4,481	4,481	4,481	P/E (x)	37.2	26.9	27.2	28.8	20.9
Payables	38,779	40,777	48,710	64,471	62,062	P/BV (x)	7.8	7.2	7.2	6.9	6.1
Other short term liabilities	185,394	217,207	250,159	250,159	250,159	EV/EBITDA (x)	33.0	24.0	23.9	24.4	17.2
Current liabilities	231,999	266,902	303,350	319,111	316,702	Dividend Yield	4.2%	3.1%	3.0%	3.0%	2.8%
Long-term debt	4,605	2,681	6,795	6,795	6,795						
Other long term liabilities	24,229	23,228	24,444	24,444	24,444	Sales/Assets (x)	0.7	0.8	0.8	0.8	1.0
Total liabilities	260,833	292,812	334,590	350,351	347,942	Interest cover (x)	NM	NM	NM	NM	NM
Shareholders' equity	368,206	396,627	400,601	414,839	471,705	Operating leverage	206.3%	190.2%	8.4%	(144.3%)	210.0%
Minority interests	6,000	8,428	8,594	8,594	8,594						
Total liabilities & equity	635,038	697,868	743,785	773,784	828,241	Revenue y/y Growth	(21.0%)	22.4%	12.3%	4.9%	21.8%
BVPS	230.18	247.95	250.12	258.64	294.10	EBITDA y/y Growth	(39.1%)	38.9%	1.6%	(5.5%)	40.6%
y/y Growth	(16.3%)	7.7%	0.9%	3.4%	13.7%	Tax rate	11.1%	10.4%	15.0%	12.2%	12.6%
Net debt/(cash)	(168,242)	(208,023)	(236,433)	(195,168)	(269,882)	Adj. Net Income y/y Growth	(34.8%)	38.2%	(1.0%)	(5.5%)	38.1%
						EPS y/y Growth	(34.9%)	38.1%	(1.1%)	(5.5%)	38.1%
						DPS y/y Growth	4.1%	(27.7%)	(1.8%)	(1.4%)	(5.5%)
Cash flow from operating activities	199,780	131,571	141,195	56,846	168,428						
o/w Depreciation & amortization	11,001	12,560	13,336	14,261	15,157						
o/w Changes in working capital	111,800	12,624	22,540	(56,961)	15,772						
Cash flow from investing activities	(44,405)	(15,253)	(12,822)	(12,802)	(13,082)						
o/w Capital expenditure	(10,431)	(16,186)	(16,846)	(6,802)	(7,082)						
as % of sales	2.4%	3.1%	2.8%	1.1%	0.9%						
Cash flow from financing activities	(139,511)	(77,368)	(100,288)	(85,309)	(80,632)						
o/w Dividends paid	(121,574)	(87,979)	(86,491)	(85,309)	(80,632)						
o/w Net debt issued/(repaid)	6,321	(1,831)	892	-	-						
Net change in cash	15,864	38,951	28,085	(41,265)	74,714						
Adj. Free cash flow to firm	183,204	105,796	115,710	41,927	153,349						
y/y Growth	85.0%	(42.3%)	9.4%	(63.8%)	265.8%						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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MediaTek Inc. (2454.TW, 2454 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 22, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
19-Apr-23	OW	688.00	800
20-Jun-23	N	785.00	750
30-Jul-23	N	658.00	730
17-Oct-23	N	840.00	780
29-Oct-23	N	801.00	750
05-Jan-24	N	928.00	800
01-Feb-24	N	966.00	880
11-Apr-24	N	1195.00	1,050
28-Apr-24	N	1005.00	1,060
29-Jul-24	N	1245.00	1,050
01-Aug-24	N	1220.00	1,150
22-Oct-24	N	1330.00	1,175
31-Oct-24	N	1290.00	1,180
05-Feb-25	N	1490.00	1,275
27-Apr-25	N	1380.00	1,350
16-Jun-25	N	1250.00	1,300
25-Nov-25	N	1150.00	1,260
28-Jan-26	N	1775.00	1,525
05-Feb-26	N	1800.00	1,600

ASE Technology Holding Co Ltd (3711.TW, 3711 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 03, 2018. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
27-Jul-23	OW	113.50	125
05-Jan-24	OW	127.00	160
25-Jul-24	OW	172.50	190
31-Oct-24	OW	157.00	185
13-Feb-25	OW	165.50	215
01-May-25	OW	135.50	170
22-Oct-25	OW	195.00	230
30-Oct-25	OW	221.00	280
10-Jan-26	OW	272.00	320
06-Feb-26	OW	284.00	350
18-Mar-26	OW	342.00	400

TSMC (2330.TW, 2330 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 28, 2002. All share prices are as of market close on the previous business day.

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Completed 16 Apr 2026 05:35 AM HKT

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